

[Type here]

Martin's Funerals

Module 5

.....

ACKNOWLEDGEMENT OF RECEIPT

I hereby acknowledge receipt of the *Martin's Funerals Operations Manual* and confirm that I understand and accept the confidentiality obligations relating to the Martin's Funerals brand, trademarks, trade secrets, copyright, operational know-how, and goodwill, whether currently existing or arising in the future.

Name: _____

Signature: _____

Date: _____

Editions and Copyright

Editions:

1st–2nd Editions: February 1998

3rd Edition: March 2000

4th Edition: November 2000

5th Edition: June 2001

6th Edition: February 2006

7th Edition: May 2007

8th Edition: August 2010

9th Edition: June 2017

10th Edition: January 2026

Publisher: Martin's Funerals Franchising (Pty) Ltd

No provision of this Manual, nor any conduct taken in terms of it, shall be interpreted as limiting, waiving, or excluding any right or protection afforded to a consumer, franchisee, or other protected person under the Consumer Protection Act, 68 of 2008, or any other applicable South African legislation.

All discretionary powers exercised under this Manual shall be applied reasonably, proportionately, and in good faith, and—except where immediate action or objectively necessary is objectively required to prevent serious harm, illegality, or regulatory breach—only after written notice and a reasonable opportunity to remedy, in accordance with section 48 of the Consumer Protection Act, 68 of 2008.

Where technical or legal language is used, it must be interpreted in a manner that is understandable to a reasonable franchisee or consumer, and any ambiguity shall be resolved in favour of fairness, transparency, and consumer protection.

CASH CONTROL & FINANCIAL PROCEDURES

Status: Mandatory Standard Operating Procedure (SOP)

Applies to: All Martin's Funerals Franchisees, Managers, and Delegated Cash Handlers

Owner: Martin's Funerals Franchising (Pty) Limited

Confidentiality: Strictly Confidential — Property of Martin's Funerals Franchising (Pty) Limited

Purpose and Compliance Standard

This module prescribes the minimum required controls for cash handling, invoicing, receipting, banking, reporting, and recordkeeping. These controls exist to protect the franchise, ensure accurate financial reporting, reduce fraud and loss risk, and support statutory and contractual compliance.

Where this module uses “**must**”, the requirement is mandatory. “**May not**” indicates a prohibition. Deviations are not permitted unless approved in writing by Martin's Funerals Franchising (Pty) Limited.

Franchisee Responsibilities

- Ensure all staff handling money or financial documents are trained on this module.
- Implement controls exactly as described; do not create local variations.
- Maintain complete, legible, and auditable records for inspection.

Controlled Documents and Recordkeeping

The following controlled documents form the required daily control set and must be completed accurately, legibly, and timeously:

- Daily Cash Control Sheet
- Cash Specification Sheet
- Petty Cash Voucher
- Petty Cash Analysis (Example 1 and Example 2)
- Cash Book
- Tax Invoice — Blue
- Invoice Receipt — Blue
- Insurance Receipt — Green
- Society / Tombstone Receipt — Yellow
- Tax Invoice / Cash Sale — Pink
- Credit Note — White

All books, files, and stationery are colour-coded. Colour-coding is a control and must be followed.

Franchisee Responsibilities

- Use only approved, colour-coded stationery for its intended purpose.
- Store completed records securely, in sequence, and with supporting documents.
- Ensure documents are completed in ink, without ambiguity, and with proper references.

Daily Reports, Graphs, and Monthly Targets

Targets

Martin's Funerals Franchising (Pty) Limited will issue franchisees with Daily Graphs and Monthly Targets before the start of the applicable month, or annually at the national conference.

Targets are calculated using:

- Performance in the same month of the previous year, and/or
- Comparative performance of franchisees in the surrounding area

Daily Completion

- The Daily Report must be completed **every day**.
- The Daily Graph must be updated immediately after completion of the Daily Report.

Consistent daily completion enables early detection of variances, control failures, or business performance issues.

Audit Readiness and Management Oversight

- Daily Reports, graphs, and supporting documentation must be available for inspection or audit by Martin's Funerals Franchising (Pty) Limited.
- If the franchise is under management by Martin's Funerals Franchising (Pty) Limited, the franchisee must submit daily figures to the Regional Manager **before 09:00** at the franchisee's cost.
- Submission may be telephonic, fax, or email. Proof of submission must be retained.

Franchisee Responsibilities

- Complete and retain Daily Reports and Daily Graph updates without exception.
- Maintain audit-ready files, including proof of daily submission where required.
- Investigate and correct variances immediately when identified.

Invoicing, Receipting, and Payment Controls

Pricing Integrity

- The invoiced amount must match the agreed service price.
- Receipts must reflect the amount actually received.
- Under-invoicing and over-invoicing are prohibited.

Receipts and Timing

- Receipts may **not** be issued in advance of payment.
- All documents must reference the correct file number.
- Invoice and receipt numbers must be recorded on the relevant MF / MFI / MFS file to support reconciliation.

Payment Policy (Cash-Only Standard)

- The business operates on a **cash-only** basis.
- Services may not commence until payment has been received **in full**.
- Customers may settle amounts daily or monthly; however, the "paid in full" standard remains mandatory before service.

Outstanding Balances

- If payment is not received in full, the outstanding balance must be recorded clearly on the receipt.
- When final payment is received, the record must be endorsed "**PAID IN FULL**".

Tax Invoice / Cash Sale (Pink)

- A Tax Invoice / Cash Sale (Pink) may be used **only** when the customer pays the **full amount in cash at the counter**.

Franchisee Responsibilities

- Ensure invoices and receipts match agreed pricing and actual funds received.
- Enforce "no service until paid in full" without exception.
- Maintain complete cross-referencing between documents and file numbers.

Credit Notes and Service Changes

A credit note must be issued when a customer, after receiving an invoice or cash sale document:

- Changes to a cheaper service
- Changes to a more expensive service
- Cancels the service

Required process:

- Issue a credit note for the **full original amount**.
- Reference the original invoice / cash sale number and details.
- Ensure the credit note is a **mirror image** of the document being credited.
- After the credit note is issued, issue a new invoice / cash sale reflecting the revised details.

Franchisee Responsibilities

- Use credit notes as the only authorised correction method for service changes/cancellations.
- Ensure the credit note fully mirrors the original document and references it clearly.
- Keep the full paper trail (original → credit note → replacement invoice) in the file.

Electronic Bank Transfer Controls

Electronic Bank Transfer payments are restricted and require strict handling.

Acceptance Standard

- Cheques may be accepted **only during bank business hours**.
- The franchisee must accompany the customer to the bank to cash the cheque.
- A receipt may be issued **only once funds are received in cash**.

Issuing Cheques (Payments by the Franchise)

When issuing cheques:

- The cheque must be stamped **"NOT NEGOTIABLE / NOT TRANSFERABLE"**.
- Cheques must be completed using a black permanent document pen.
- The purpose and reference details must be recorded on the reverse of the cheque.
- Errors, overwriting, and alterations are prohibited.
- Counterfoils must be completed fully.

Cancelled and Returned Cheques

- Cancelled cheques must be defaced thoroughly in black permanent ink, folded, and stapled to the counterfoil.
- Returned cheques must be filed in numerical order in a lever-arch file or stapled to the relevant supporting documentation.

Franchisee Responsibilities

- Enforce strict cheque acceptance controls and issue receipts only after cash is confirmed.
- Prevent alteration risk by following the pen/stamp and "no mistakes" rules.
- Maintain a complete, traceable cheque record set (counterfoils, cancellations, returned cheques).

Daily Banking and Deposit Security

Sub-Deposits and Cash Exposure

- Cash exposure must be minimised.
- On busy days, multiple sub-deposits must be made to reduce security risk.

Deposit Slip Control

Deposit slips must be numbered to support Daily Report reconciliation.

Example structure:

- Daily Report number: 0231
- Deposits: 0231/01, 0231/02, 0231/03

Banking Discipline and Confidentiality

- On quiet days, cash-up must occur early enough to deposit before bank closing.
- Banking should not be done at the same time every day.
- Banking intentions and routines must not be disclosed to staff or third parties; disclose only to your spouse.
- Staff must remain alert and apply situational awareness at all times.

Franchisee Responsibilities

- Reduce cash-on-hand through sub-deposits where required.
- Ensure deposit slips are numbered and traceable to the Daily Report.
- Maintain confidentiality and vary banking routines to reduce security risk.

Year-End Treatment of Shortages

At financial year-end, any cash shortages are posted to the franchisee's loan account by the franchisee's accountant and SARS (not by Martin's Funerals Franchising (Pty) Limited).

Franchisee Responsibilities

- Prevent shortages through daily controls and immediate investigation of variances.
- Ensure year-end records support reconciliation and audit queries.

Terminology and Consistency Notes

To align terminology across the franchise manual, this module uses the following standard terms:

- **Franchisee:** The franchise owner and/or authorised management accountable for compliance.
- **Regional Manager:** The assigned representative of Martin's Funerals Franchising (Pty) Limited.
- **Daily Report:** The prescribed daily financial reporting document for operational tracking and control.
- **Daily Graph:** The performance tracking tool updated daily from the Daily Report.
- **Cash-only basis:** Payment policy requiring settlement in full before service commencement.

If other modules use alternative terms (e.g., "branch", "outlet", "manager on duty", "operations report"), those should be standardised to the terms above when integrating the manual.

Compliance Notice: Non-compliance with this module may result in corrective action in terms of the franchise agreement and may expose the franchisee to statutory and financial risk.

DAILY CASH CONTROL SHEET TEMPLATE

MARTIN'S FUNERALS

1. DAILY CASH CONTROL SHEET

Date

Branch:

Daily Report No:

Completed By:

Reviewed By:

A. OPENING BALANCE

Opening Float: R

B. RECEIPTS SUMMARY (FOR THE DAY)

Description	Receipt Book Colour	Receipt Numbers	Amount (R)
Cash Sales	Pink	_____ - _____	
Tax Invoices Paid	Blue	_____ - _____	
Insurance Receipts	Green	_____ - _____	
Society / Tombstone	Yellow	_____ - _____	
Other (Specify)	_____	_____ - _____	
Total Receipts: R			

C. TOTAL CASH ON HAND

Opening Float: R

Total Receipts: R

= Gross Cash: R

D. PAYMENTS / PETTY CASH

Voucher No Description Amount (R)

Total Payments: R _____

E. EXPECTED CASH BALANCE

Gross Cash: R

– Total Payments: R

= Expected Cash: R

F. ACTUAL CASH COUNT

Cash Counted: R _____

Variance:

☐ Balanced

☐ Over R _____

☐ Short R _____

Explanation for variance (if any):

G. BANK DEPOSITS

Deposit Slip No	Amount (R)
_____	_____
_____	_____

Total Deposited: R

Cash Remaining in Safe: R

SIGN-OFF

Cash Handler Signature: _____

Manager Signature: _____

2. FRAUD RISK ASSESSMENT MATRIX

MARTIN'S FUNERALS

FRAUD RISK ASSESSMENT MATRIX

RISK CATEGORIES

Risk Area	Risk Description	Likelihood	Impact	Control Measures
Cash Theft	Skimming before receipting	Medium	High	Daily reconciliation, numbered receipts
Under-Invoicing	Charging less than agreed	Medium	High	File cross-reference checks
Over-Invoicing	Inflating service amounts	Low	High	Pricing approval review
Receipt Manipulation	Issuing receipts without payment	Medium	High	No receipt before cash rule
Cheque Fraud	Altered cheques	Low	High	Black permanent ink rule
Deposit Fraud	Delayed banking	Medium	High	Sub-deposits, varied banking times
Credit Note Abuse	Issuing false credits	Low	High	Mirror credit note rule
Petty Cash Abuse	Unsupported petty cash	Medium	Medium	Voucher & receipt requirement
Collusion	Staff working together	Low	High	Segregation of duties
Record Destruction	Missing documents	Low	High	Secure storage, audits

RISK RATING SCALE

Likelihood:

Low / Medium / High

Impact:

Low / Medium / High

High + High = Immediate management intervention required.

3. SURPRISE AUDIT CHECKLIST
MARTIN'S FUNERALS
SURPRISE CASH AUDIT CHECKLIST

Date of Audit:

Auditor:

Branch:

A. CASH COUNT

- ☐ Physical cash counted
- ☐ Count matches Daily Cash Control Sheet
- ☐ Safe cash matches recorded balance
- ☐ Petty cash reconciled

B. DOCUMENT CONTROL

- ☐ Receipt books in sequence
- ☐ No missing receipt numbers
- ☐ No overwriting
- ☐ No correction fluid
- ☐ All receipts reference file numbers

C. CREDIT NOTES

- ☐ Credit notes mirror original invoices
- ☐ Proper referencing completed
- ☐ Replacement invoice issued

D. BANKING

- ☐ Deposit slips match Daily Report
- ☐ Deposit numbers correspond
- ☐ No unexplained delays in banking
- ☐ Sub-deposits used when required

E. CHEQUE CONTROLS

- ☐ Cheques stamped NOT NEGOTIABLE
- ☐ Black permanent ink used
- ☐ Cancelled cheques defaced
- ☐ Counterfoils completed

F. VARIANCES

- ☐ Variances documented
- ☐ Explanations recorded
- ☐ Corrective action taken

Audit Outcome:

- ☐ Compliant
- ☐ Minor Findings
- ☐ Major Findings

Auditor Signature: _____

5. COMPLETE FINANCIAL CONTROL MANUAL STRUCTURED MASTER EDITION

SECTION 1: GOVERNANCE FRAMEWORK

- Purpose
- Scope
- Mandatory Standards
- Definitions

SECTION 2: CASH HANDLING POLICY

- Opening Float Control
- Daily Cash Control Sheet
- Reconciliation Standards
- Variance Investigation

SECTION 3: INVOICING & RECEIPTING POLICY

- Colour Coding System
- Pricing Integrity
- File Cross-Referencing
- No Service Until Paid

SECTION 4: CREDIT NOTE CONTROL

- Full Mirror Rule
- Replacement Invoice Rule
- Cancellation Procedure

SECTION 5: CHEQUE CONTROL

- Acceptance Restrictions
- Issuing Standards
- Cancellation Procedure
- Record Retention

SECTION 6: BANKING PROCEDURE

- Sub-Deposits
- Deposit Slip Numbering
- Confidential Banking Routine
- Security Awareness

SECTION 7: PETTY CASH CONTROL

- Voucher Requirement
- Receipt Attachment
- Analysis Sheet
- Monthly Reconciliation

SECTION 8: FRAUD PREVENTION FRAMEWORK

- Segregation of Duties
- Sequential Document Control
- Surprise Audits
- Whistleblowing Policy

SECTION 9: AUDIT & OVERSIGHT

- Daily Manager Review
- Monthly Regional Review

- Annual Compliance Audit
- Corrective Action Tracking

SECTION 10: DISCIPLINARY CONSEQUENCES

Non-compliance may result in:

- Written warning
- Financial recovery
- Franchise breach action
- Termination
- Legal reporting

SECTION 11: RECORD RETENTION

All financial documents must be:

- Stored securely
- Sequentially filed
- Retained per statutory requirements
- Audit accessible

SECTION 12: MANAGEMENT CERTIFICATION

Franchisee Certification of Compliance:

Signature: _____

Date: _____

Regional Manager Review:

Signature: _____